

risk of default is limited. For us, higher-rated bonds don't have enough yield, and lower-rated bonds have too much uncertainty. This single-B zone is where our clients expect us to operate. (Of course, we have to be ready to alter our focus should risk/return relationships change.)

It would be sounder procedure to start with minimum standards of safety, which all bonds must be required to meet . . . Essentially, bond selection should consist of working upward from definite minimum standards rather than working downward in haphazard fashion from some ideal but overly restrictive level of maximum security. (Chap. 7)

3. *Credit risk stems primarily from the quantum of leverage and the firm's basic instability, the interaction of which in tough times can erode the margin by which interest coverage exceeds debt service requirements.* A company with very stable cash flows can support high leverage and heavy debt service. By the same token, a company with limited leverage and modest debt service requirements can survive severe fluctuations in its cash flow. But the combination of high leverage and undependable cash flow can result in a failure to service debt, as investors are reminded painfully from time to time. Graham and Dodd cite the very same elements.

Studying the 1931–1933 record, we note that price collapses [among industrial bonds] were not due primarily to unsound financial structures, as in the case of utility bonds, nor to a miscalculation by investors as to the margin of safety needed, as in the case of railroad bonds. We are confronted in many cases by a sudden disappearance of earning power, and a disconcerting question as to whether the business can survive. (Chap. 7)

4. *Analysis of individual issues calls for a multifaceted approach.* Since 1985, my team of analysts has applied an eight-factor credit analysis process developed by Sheldon Stone. Most of the elements are reflected in—perhaps ultimately were inspired by—aspects of